Syrma SGS Technology Ltd

Concall Tracker, Q2-2027 update | Screener ticker: SYRMA | Prepared 7 Nov 2026 | Builds on the Q1-2027 report

1. Snapshot

What it does: Syrma is a contract electronics maker (EMS = electronics manufacturing services). It builds circuit boards and finished electronic products for other brands in cars, factories, consumer gadgets, medical devices, IT and railways. It earns more when it also designs the product (ODM = original design manufacturing) instead of just building to a client's drawing.

₹28,140 cr
Market value. A mid-sized company the market prices richly.

~₹2,000 cr
Q2 FY27 sales (Jul-Sep 2026, consolidated). Up 73% on a year ago and 25% on last quarter. Its biggest quarter yet.

₹124 cr
Q2 net profit (PAT). Up 87%. First-half profit of ₹230 cr already beats all of FY25.

~9.7%
Q2 operating margin (EBITDA = profit before interest, tax and depreciation, over sales). ₹193 cr of EBITDA. A shade below a year ago because of pricier parts.

₹7,420 cr
Order book at end Sep. Up from ₹6,770 cr last quarter. About a year of sales lined up.

74x
Price-to-earnings on Screener. You pay a lot for each rupee of profit.

2. Concall coverage

Quarter	Date	Read?
Q1 FY24 → Q4 FY26 (12 calls)	Aug 2023 - May 2026	Carried forward from the Q4-2026 and Q1-2027 reports
Q1 FY27 (prior boundary)	30 Jul 2026	Read in the Q1-2027 report
Q2 FY27	2 Nov 2026	Newly deep-read in full ★

Only the Q2 FY27 call was read in full. The backstory comes from the two earlier reports. In all, about three years of calls sit behind this read.

2b. Latest concall highlights: Q2 FY27 (call held 2 Nov 2026)

- **Another huge quarter.** Sales ~₹2,000 cr (up 73%), EBITDA ₹193 cr (up 68%), profit ₹124 cr (up 87%). Plain read: profit is still growing faster than sales.
- **Guidance raised.** FY27 sales growth lifted from 35%+ to 40-45%, about ₹7,000 cr. They aim to cross $1 billion (~₹8,800 cr) in FY28. Export target raised to ₹1,700 cr+ from ₹1,500-1,600 cr.
- **But the margin guide came down.** FY27 EBITDA margin now 10-10.5%, down from 10.5-11%. Reason: chip and parts prices are passed on to customers at cost, so the margin percentage thins even as rupee profit holds. They expect the shortage to last until about Apr-Jun 2027.
- **Cash came back.** Working capital fell from 71 to 63 days. Operating cash flow turned positive (₹120 cr in the half). Net cash ₹258 cr.
- **New plants and deals.** Elemaster rail JV plant opened in Sep. A medical-plastics plant opened in Jodhpur. A $250 million (~₹2,200 cr) framework deal with a global data-centre and power customer starts paying in FY28. PCB plant powers on by March 2027.

2c. Business mix & capacity

Mix (Q2 FY27): exports ~26% of sales, domestic ~74%. By segment: automotive ~26%, consumer ~29%, IT and railways ~14%, the rest industrial and healthcare. Plain read: about one rupee in four comes from abroad, and consumer slipped back under 30%. **Capacity:** utilization was not updated on this call (last stated 65-70%). Management said the base business needs no big new capex, and a new factory software system freed up roughly two lines' worth of output. Non-PCB capex stays at ₹100-150 cr a year.

2d. Since our last report

Builds on the **Q1-2027 report** (boundary call 30 Jul 2026). Prior verdicts: **trigger YES**, **consistency YES**. That report had no checkpoint box, so its live promises are scored below.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Exports and design work drive profit.	Exports up 91% in the quarter, ODM up 117% in the half.	Confirmed
Consistency: YES	Held guide, said it would beat it.	Raised sales guide, order book up. Margin guide trimmed.	Confirmed, one dent
Guidance beat	35%+ growth, "should exceed".	Raised to 40-45%. Order book ₹6,770 cr → ₹7,420 cr.	Delivered
Parts shortage vs margin and stock	Could squeeze margins, stock building up.	Working capital back to 63 days, cash flow positive. But margin guide cut to 10-10.5% and inventory still 71 days.	Partly
PCB plant	Production by Apr 2027.	Power-on and trial runs by March. Volume production around Jul-Sep 2027 after customer approvals.	On-track, ramp later
Kaga JV	Just signed.	Approvals pending. ₹100-150 cr of sales seen in FY28.	On-track

Checkpoint results: Delivered | Partly

Verdict change: both unchanged. The raised sales guide and the cash turnaround back the trigger. The margin trim is a dent, but it was flagged a quarter early and explained plainly.

3. Earning Trigger thesis

Syrma keeps moving from cheap consumer assembly toward exports, its own designs and richer markets like cars, medical and rail. That's why profit keeps growing faster than sales. The next leg is new plants and deals landing in FY28: the PCB plant, the Kaga and Elemaster JVs and a big data-centre customer.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Exports	₹1,700 cr+ this year, ₹2,000 cr next.	₹901 cr in the half, up 80%.	Live	Strong	↑ Target raised
ODM / design	Cross ₹1,000-1,100 cr this year.	₹591 cr in the half vs ₹273 cr.	Live	Strong	↑ Improving
Global framework deal	$250 million deal, ₹500-1,500 cr a year to start.	Trial runs done, ramp plan agreed.	FY28	Moderate	New
PCB plant	₹200-300 cr in FY28, ₹900-1,000 cr in FY29. 15-18% margin before incentives.	₹200 cr+ spent, power-on by March.	FY28-29	Moderate	Unchanged
JVs (Elemaster, Kaga) & camera modules	₹150-200 cr and ₹100-150 cr next year. Camera modules start by March.	Elemaster plant opened Sep 2026.	FY28+	Moderate / unproven	↑ Plant opened

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not discussed. Net cash ₹258 cr, gross debt ₹746 cr.
New business	Yes	"These are the 3 new verticals which will give revenue in the next year" (Kaga JV, Elemaster JV, PCB) (2 Nov 2026)
Margin up	No	Margin guide cut to 10-10.5% for FY27 due to parts cost push.
New management	No	CEO Jaidit Brar joined in June, covered last quarter. No change this quarter.
New capacity	Yes	"We commissioned the factory in September of '26" (Elemaster), plus a medical-plastics plant in Jodhpur. PCB power-on by March 2027 (2 Nov 2026)
Big orders	Yes	"Open order book visibility position of INR7,420 crores", plus a $250 million framework deal (2 Nov 2026)
Turnaround	No	Not applicable, already profitable.
Promoter buying	No	Not discussed.

Single concrete driver: Exports and design-led work, won from new global customers, keep growing far faster than the rest of the business.

3c. Margin bridge

Margin is a touch lower than a year ago (H1 9.9% vs 10.1%). Chip and component shortages pushed up part prices by about 3-5%. Syrma passes that on at cost, so sales rise but the margin percentage thins. Management expects this to ease around Apr-Jun 2027 and sees 10.5-11%+ in FY28 as PCB and exports grow. (one-off)

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-FY26 margin	Lift to 7% → 8% → 8.5-9%	Reached 11.3% in FY26	Delivered (beat)
FY25 exports ₹1,000 cr	Cross ₹1,000 cr	Missed FY25, beat FY26 at ₹1,200 cr	Partly (a year late)
KSolare deal	Buy into solar inverters	Cancelled. Not raised this call	Dropped
FY27 sales +35%	Set May 2026, "should exceed" in Jul	H1 +71%, guide raised to 40-45%	Delivered so far
FY27 margin 10.5-11%	Set May 2026, "should exceed" in Jul	Cut to 10-10.5% in Nov	Missed (flagged early)
Working capital and cash	Q1 rise is temporary, cash flow positive over the year	63 days, ₹120 cr operating cash in H1	Delivered
PCB plant	Production by Apr 2027	Power-on by March, volume by Sep 2027	On track, ramp later

Narrative drift: very little. The "profitable growth, not cheap volume" story is the same as three years ago. The one change: the July hint that they'd beat the margin guide didn't hold. They own it plainly, explaining that passed-through part costs dilute the percentage. The MD also told analysts the second half will grow slower because some consumer orders came early. That's a management team managing expectations down, not up.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Nothing weakened it. Exports and design-led sales, the two things that make Syrma more profitable, again grew fastest, and the export target went up. The order book grew and a big global deal is lined up for FY28. The PCB plant is on time for power-on. The risk is outside the company: the parts shortage is thinning margins and could limit how much they can ship until mid-2027.

Management consistent? → YES vs last quarter: unchanged

The margin trim is the one dent this quarter. Against that, they raised sales guidance, brought working capital back within one quarter as promised, and turned cash flow positive. They flagged the margin pressure back in July before it showed up in the guide.

6. Checkpoints for next quarter

- Q3 FY27 sales keep pace with the 40-45% full-year growth guide
- Operating margin holds at 10% or better despite the parts shortage
- PCB plant on schedule to power on by March 2027

Sources: Syrma SGS Q2 FY27 earnings call transcript (2 Nov 2026, filed 6 Nov 2026) from Screener.in; Screener financial data; prior Q4-2026 and Q1-2027 concall-tracker reports. Not investment advice.